FY2026 Cash Audit · Findings for the CPA

Findings for the CPA from the audit procedures; not an audit report or opinion.

Client	HANGS Construction Development LP
Area audited	Cash at June 30, 2026: bank confirmation and reconciliation testing (FY2026, July 1, 2025–June 30, 2026)
Prepared from	10 evidence files: the client's books and bank reconciliation, the confirmation request, and the answers the bank and the escrow company sent the audit team directly
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed, concluded or signed. Nothing was posted or sent to the client.

Materiality, Proposed

Book income, the benchmark	$244,500.00
Materiality: 5% of book income, rounded down	$12,000.00
Performance materiality: 75%	$9,000.00
Clearly trivial: 5% of materiality	$600.00

The engagement partner sets the final amounts. Items under the clearly trivial amount are listed but not added up.

What the Procedures Found

Procedure	What was found	Amount
Cash	One account, 100110: 1,058 ledger lines agree with the trial balance, the statements and the client's reconciliation	$29,900.00
Confirmation	The bank confirmed $42,300.00, $12,400.00 more than the books; explained in full (CONF-01)	$12,400.00
Reconciliation	Foots and agrees to the bank and the books, but carries two items that cancel and was never reviewed (REC-01)	$0.00
Outstanding items	All 4 June payments cleared the bank July 1 and 2 at the amounts sent	$12,400.00
Stale check	Check 1043, warranty claim HC-WCL-03, never presented: 209 days old at June 30 (STALE-01)	$700.00
Bank charge	The bank's annual fee of January 2, 2026 was never recorded in the books (FEE-01)	$700.00
Difference	Cleared in July, plus the stale check, less the unrecorded fee: nothing left unexplained	$0.00
Cut-off	Both distribution wires left and were booked June 30; no transfers between accounts; no June receipts	$240,000.00
Restrictions	No holds, liens, set-off or compensating balances; every closing wired in full; nothing held back	$0.00

Against Materiality

Known misstatements, added up (FEE-01)	**$700.00**
Net effect on cash of FEE-01 and STALE-01	$0.00
Performance materiality	$9,000.00
Materiality	$12,000.00

Known misstatements are 5.8% of materiality and under performance materiality: if the client declines to record FEE-01, it is a passed adjustment. Voiding the stale check (STALE-01) moves the same amount between cash and the warranty liability. Comparing these with materiality and concluding is the CPA's job.

Signature: none. This memo gives no audit opinion and is not an audit report. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted; the client decides whether to record the proposed ones.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Book Income, the Benchmark

$244,500.00

Workbook: Planning!B16

Draft figure · the CPA reviews and concludes

Planning!B16 = $244,500.00

=B13-B14-B15

Planning!B13 = $3,276,000.00

=-'E01 Trial Balance'!C14

E01 Trial Balance!C14 = ($3,276,000.00)

Planning!B14 = $2,888,500.00

='E01 Trial Balance'!C15

E01 Trial Balance!C15 = $2,888,500.00

Planning!B15 = $143,000.00

='E01 Trial Balance'!C16

E01 Trial Balance!C16 = $143,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Development!C14, HANGS Development!C15, HANGS Development!C16

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Materiality, Proposed

$12,000.00

Workbook: Planning!B17

Draft figure · the CPA reviews and concludes

Planning!B17 = $12,000.00

=ROUNDDOWN(B16*B21/1000,0)*1000

Planning!B16 = $244,500.00

=B13-B14-B15

Planning!B13 = $3,276,000.00

=-'E01 Trial Balance'!C14

E01 Trial Balance!C14 = ($3,276,000.00)

Planning!B14 = $2,888,500.00

='E01 Trial Balance'!C15

E01 Trial Balance!C15 = $2,888,500.00

Planning!B15 = $143,000.00

='E01 Trial Balance'!C16

E01 Trial Balance!C16 = $143,000.00

Planning!B21 = 5.000%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Development!C14, HANGS Development!C15, HANGS Development!C16

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Performance Materiality

$9,000.00

Workbook: Planning!B18

Draft figure · the CPA reviews and concludes

Planning!B18 = $9,000.00

=ROUND(B17*0.75,2)

Planning!B17 = $12,000.00

=ROUNDDOWN(B16*B21/1000,0)*1000

Planning!B16 = $244,500.00

=B13-B14-B15

Planning!B13 = $3,276,000.00

=-'E01 Trial Balance'!C14

E01 Trial Balance!C14 = ($3,276,000.00)

Planning!B14 = $2,888,500.00

='E01 Trial Balance'!C15

E01 Trial Balance!C15 = $2,888,500.00

Planning!B15 = $143,000.00

='E01 Trial Balance'!C16

E01 Trial Balance!C16 = $143,000.00

Planning!B21 = 5.000%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Development!C14, HANGS Development!C15, HANGS Development!C16

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Clearly Trivial

$600.00

Workbook: Planning!B19

Draft figure · the CPA reviews and concludes

Planning!B19 = $600.00

=ROUND(B17*0.05,2)

Planning!B17 = $12,000.00

=ROUNDDOWN(B16*B21/1000,0)*1000

Planning!B16 = $244,500.00

=B13-B14-B15

Planning!B13 = $3,276,000.00

=-'E01 Trial Balance'!C14

E01 Trial Balance!C14 = ($3,276,000.00)

Planning!B14 = $2,888,500.00

='E01 Trial Balance'!C15

E01 Trial Balance!C15 = $2,888,500.00

Planning!B15 = $143,000.00

='E01 Trial Balance'!C16

E01 Trial Balance!C16 = $143,000.00

Planning!B21 = 5.000%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Development!C14, HANGS Development!C15, HANGS Development!C16

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Cash · Cash in the Trial Balance

$29,900.00

Workbook: Planning!B8

Draft figure · the CPA reviews and concludes

Planning!B8 = $29,900.00

='E01 Trial Balance'!C8

E01 Trial Balance!C8 = $29,900.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Development!C8

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Confirmation · Balance Shown on the Request

$29,900.00

Workbook: Confirmations!B8

Draft figure · the CPA reviews and concludes

Confirmations!B8 = $29,900.00

='E05 Request'!B11

E05 Request!B11 = $29,900.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Confirmations/Bank confirmation request.pdf · PDF page 1; customer, account, as-of date, balance per the customer, questions asked and the customer's authorization

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Confirmation · Balance Confirmed by the Bank

$42,300.00

Workbook: Confirmations!B10

Draft figure · the CPA reviews and concludes

Confirmations!B10 = $42,300.00

='E06 Bank Letter'!B11

E06 Bank Letter!B11 = $42,300.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Confirmations/Cinderbrook Bank confirmation.pdf · PDF page 1; balance on deposit, loans, lines of credit, guarantees and signature

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Confirmation · Confirmation Difference (CONF-01)

$12,400.00

Workbook: Confirmations!B11

Draft figure · the CPA reviews and concludes

Confirmations!B11 = $12,400.00

=B10-B8

Confirmations!B10 = $42,300.00

='E06 Bank Letter'!B11

E06 Bank Letter!B11 = $42,300.00

Confirmations!B8 = $29,900.00

='E05 Request'!B11

E05 Request!B11 = $29,900.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Confirmations/Cinderbrook Bank confirmation.pdf · PDF page 1; balance on deposit, loans, lines of credit, guarantees and signature

02 Confirmations/Bank confirmation request.pdf · PDF page 1; customer, account, as-of date, balance per the customer, questions asked and the customer's authorization

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Reconciliation · Outstanding Payments

$13,100.00

Workbook: Reconciliation!B18

Draft figure · the CPA reviews and concludes

Reconciliation!B18 = $13,100.00

=SUM(B13:B17)

Reconciliation!B13 = $3,100.00

='E04 Reconciliation'!D9

E04 Reconciliation!D9 = $3,100.00

Reconciliation!B14 = $3,100.00

='E04 Reconciliation'!D10

E04 Reconciliation!D10 = $3,100.00

Reconciliation!B15 = $3,100.00

='E04 Reconciliation'!D11

E04 Reconciliation!D11 = $3,100.00

Reconciliation!B16 = $3,100.00

='E04 Reconciliation'!D12

E04 Reconciliation!D12 = $3,100.00

Reconciliation!B17 = $700.00

='E04 Reconciliation'!D13

E04 Reconciliation!D13 = $700.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/June 2026 bank reconciliation.xlsx · Bank Reconciliation!D9, Bank Reconciliation!D10, Bank Reconciliation!D11, Bank Reconciliation!D12, Bank Reconciliation!D13

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Reconciliation · Adjusted Bank Balance

$29,200.00

Workbook: Reconciliation!B19

Draft figure · the CPA reviews and concludes

Reconciliation!B19 = $29,200.00
=B8-B18

Reconciliation!B8 = $42,300.00
='Confirmations'!B10

Confirmations!B10 = $42,300.00
='E06 Bank Letter'!B11

E06 Bank Letter!B11 = $42,300.00

Reconciliation!B18 = $13,100.00
=SUM(B13:B17)

Reconciliation!B13 = $3,100.00
='E04 Reconciliation'!D9

E04 Reconciliation!D9 = $3,100.00

Reconciliation!B14 = $3,100.00
='E04 Reconciliation'!D10

E04 Reconciliation!D10 = $3,100.00

Reconciliation!B15 = $3,100.00
='E04 Reconciliation'!D11

E04 Reconciliation!D11 = $3,100.00

Reconciliation!B16 = $3,100.00
='E04 Reconciliation'!D12

E04 Reconciliation!D12 = $3,100.00

Reconciliation!B17 = $700.00
='E04 Reconciliation'!D13

E04 Reconciliation!D13 = $700.00

Source files and cells (the full formula chain is in the workbook and on the review screen):
02 Confirmations/Cinderbrook Bank confirmation.pdf · PDF page 1; balance on deposit, loans, lines of credit, guarantees and signature
01 Client Accounting/June 2026 bank reconciliation.xlsx · Bank Reconciliation!D9, Bank Reconciliation!D10, Bank Reconciliation!D11, Bank Reconciliation!D12, Bank Reconciliation!D13

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Reconciliation · Bank Charge Not in the Books (FEE-01)

$700.00

Workbook: Reconciliation!B22

Draft figure · the CPA reviews and concludes

Reconciliation!B22 = $700.00

='E04 Reconciliation'!D18

E04 Reconciliation!D18 = $700.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/June 2026 bank reconciliation.xlsx · Bank Reconciliation!D18

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Reconciliation · Adjusted Book Balance

$29,200.00

Workbook: Reconciliation!B23

Draft figure · the CPA reviews and concludes

Reconciliation!B23 = $29,200.00

=B21-B22

Reconciliation!B21 = $29,900.00

='Planning'!B8

Planning!B8 = $29,900.00

='E01 Trial Balance'!C8

E01 Trial Balance!C8 = $29,900.00

Reconciliation!B22 = $700.00

='E04 Reconciliation'!D18

E04 Reconciliation!D18 = $700.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · HANGS Development!C8

01 Client Accounting/June 2026 bank reconciliation.xlsx · Bank Reconciliation!D18

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Reconciliation · Reconciliation Difference $0.00

Workbook: Reconciliation!B24

Draft figure · the CPA reviews and concludes

Reconciliation!B24 = $0.00
=B19-B23

Reconciliation!B19 = $29,200.00
=B8-B18

Reconciliation!B8 = $42,300.00
='Confirmations'!B10

Confirmations!B10 = $42,300.00
='E06 Bank Letter'!B11

E06 Bank Letter!B11 = $42,300.00

Reconciliation!B18 = $13,100.00
=SUM(B13:B17)

Reconciliation!B13 = $3,100.00
='E04 Reconciliation'!D9

E04 Reconciliation!D9 = $3,100.00

Reconciliation!B14 = $3,100.00
='E04 Reconciliation'!D10

E04 Reconciliation!D10 = $3,100.00

Reconciliation!B15 = $3,100.00
='E04 Reconciliation'!D11

E04 Reconciliation!D11 = $3,100.00

Reconciliation!B16 = $3,100.00
='E04 Reconciliation'!D12

E04 Reconciliation!D12 = $3,100.00

Reconciliation!B17 = $700.00
='E04 Reconciliation'!D13

E04 Reconciliation!D13 = $700.00
Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Confirmations/Cinderbrook Bank confirmation.pdf · PDF page 1; balance on deposit, loans, lines of credit, guarantees and signature
01 Client Accounting/June 2026 bank reconciliation.xlsx · Bank Reconciliation!D9, Bank Reconciliation!D10, Bank Reconciliation!D11, Bank Reconciliation!D12, Bank Reconciliation!D13, Bank Reconciliation!D18
01 Client Accounting/FY2026 trial balance.xlsx · HANGS Development!C8

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Outstanding Items · June Payments Cleared in July

$12,400.00

Workbook: Outstanding Items!C12

Draft figure · the CPA reviews and concludes

Outstanding Items!C12 = $12,400.00

=SUM(C8:C11)

Outstanding Items!C8 = $3,100.00

='E09 July Bank'!D12

E09 July Bank!D12 = $3,100.00

Outstanding Items!C9 = $3,100.00

='E09 July Bank'!D13

E09 July Bank!D13 = $3,100.00

Outstanding Items!C10 = $3,100.00

='E09 July Bank'!D14

E09 July Bank!D14 = $3,100.00

Outstanding Items!C11 = $3,100.00

='E09 July Bank'!D15

E09 July Bank!D15 = $3,100.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Bank Statements/July 2026 bank statement.pdf · PDF page 1; July 2026 payments and closing balance

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Outstanding Items · Check 1043 Never Presented (STALE-01)

$700.00

Workbook: Outstanding Items!B14

Draft figure · the CPA reviews and concludes

Outstanding Items!B14 = $700.00

='Reconciliation'!B17

Reconciliation!B17 = $700.00

='E04 Reconciliation'!D13

E04 Reconciliation!D13 = $700.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/June 2026 bank reconciliation.xlsx · Bank Reconciliation!D13

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Outstanding Items · Confirmation Difference Explained

$12,400.00

Workbook: Outstanding Items!B22

Draft figure · the CPA reviews and concludes

Outstanding Items!B22 = $12,400.00

=B19+B20+B21

Outstanding Items!B19 = $12,400.00

=C12

Outstanding Items!C12 = $12,400.00

=SUM(C8:C11)

Outstanding Items!C8 = $3,100.00

='E09 July Bank'!D12

E09 July Bank!D12 = $3,100.00

Outstanding Items!C9 = $3,100.00

='E09 July Bank'!D13

E09 July Bank!D13 = $3,100.00

Outstanding Items!C10 = $3,100.00

='E09 July Bank'!D14

E09 July Bank!D14 = $3,100.00

Outstanding Items!C11 = $3,100.00

='E09 July Bank'!D15

E09 July Bank!D15 = $3,100.00

Outstanding Items!B20 = $700.00

=B14

Outstanding Items!B14 = $700.00

='Reconciliation'!B17

Reconciliation!B17 = $700.00

='E04 Reconciliation'!D13

E04 Reconciliation!D13 = $700.00

Outstanding Items!B21 = ($700.00)

=-'Reconciliation'!B22

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Bank Statements/July 2026 bank statement.pdf · PDF page 1; July 2026 payments and closing balance

01 Client Accounting/June 2026 bank reconciliation.xlsx · Bank Reconciliation!D13, Bank Reconciliation!D18

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Outstanding Items · Unexplained Difference

$0.00

Workbook: Outstanding Items!B23

Draft figure · the CPA reviews and concludes

Outstanding Items!B23 = $0.00

=B18-B22

Outstanding Items!B18 = $12,400.00

='Confirmations'!B11

Confirmations!B11 = $12,400.00

=B10-B8

Confirmations!B10 = $42,300.00

='E06 Bank Letter'!B11

E06 Bank Letter!B11 = $42,300.00

Confirmations!B8 = $29,900.00

='E05 Request'!B11

E05 Request!B11 = $29,900.00

Outstanding Items!B22 = $12,400.00

=B19+B20+B21

Outstanding Items!B19 = $12,400.00

=C12

Outstanding Items!C12 = $12,400.00

=SUM(C8:C11)

Outstanding Items!C8 = $3,100.00

='E09 July Bank'!D12

E09 July Bank!D12 = $3,100.00

Outstanding Items!C9 = $3,100.00

='E09 July Bank'!D13

E09 July Bank!D13 = $3,100.00

Outstanding Items!C10 = $3,100.00

='E09 July Bank'!D14

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Confirmations/Cinderbrook Bank confirmation.pdf · PDF page 1; balance on deposit, loans, lines of credit, guarantees and signature

02 Confirmations/Bank confirmation request.pdf · PDF page 1; customer, account, as-of date, balance per the customer, questions asked and the customer's authorization

03 Bank Statements/July 2026 bank statement.pdf · PDF page 1; July 2026 payments and closing balance

01 Client Accounting/June 2026 bank reconciliation.xlsx · Bank Reconciliation!D13, Bank Reconciliation!D18

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Cut-Off · Distributions Wired June 30

$240,000.00

Workbook: Cut-Off!B11

Draft figure · the CPA reviews and concludes

Cut-Off!B11 = $240,000.00

=SUM(B8:B9)

Cut-Off!B8 = $239,760.00

='E02 Ledger'!H2130

E02 Ledger!H2130 = $239,760.00

Cut-Off!B9 = $240.00

='E02 Ledger'!H2132

E02 Ledger!H2132 = $240.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!H2130, General Ledger!H2132

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Cut-Off · Last Receipt Before Year End

$31,500.00

Workbook: Cut-Off!B21

Draft figure · the CPA reviews and concludes

Cut-Off!B21 = $31,500.00

='E02 Ledger'!G219

E02 Ledger!G219 = $31,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 general ledger.xlsx · General Ledger!G219

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Restricted Cash · Escrow Report, Wired to the Seller

$3,276,000.00

Workbook: Restricted Cash!B11

Draft figure · the CPA reviews and concludes

Restricted Cash!B11 = $3,276,000.00

=SUM('E10 Escrow Report'!D8:D106)+SUM('E10 Escrow Report'!D107:D111)

E10 Escrow Report!D8 = $31,500.00

E10 Escrow Report!D9 = $31,500.00

E10 Escrow Report!D10 = $31,500.00

E10 Escrow Report!D11 = $31,500.00

E10 Escrow Report!D12 = $31,500.00

E10 Escrow Report!D13 = $31,500.00

E10 Escrow Report!D14 = $31,500.00

E10 Escrow Report!D15 = $31,500.00

E10 Escrow Report!D16 = $31,500.00

E10 Escrow Report!D17 = $31,500.00

E10 Escrow Report!D18 = $31,500.00

E10 Escrow Report!D19 = $31,500.00

E10 Escrow Report!D20 = $31,500.00

E10 Escrow Report!D21 = $31,500.00

E10 Escrow Report!D22 = $31,500.00

E10 Escrow Report!D23 = $31,500.00

E10 Escrow Report!D24 = $31,500.00

E10 Escrow Report!D25 = $31,500.00

E10 Escrow Report!D26 = $31,500.00

E10 Escrow Report!D27 = $31,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Confirmations/Marshgate Escrow closing report.xlsx · Closings!D8, Closings!D9, Closings!D10, Closings!D11, Closings!D12, Closings!D13

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Restricted Cash · Held Back by Escrow

$0.00

Workbook: Restricted Cash!D11

Draft figure · the CPA reviews and concludes

Restricted Cash!D11 = $0.00

=B10-B11

Restricted Cash!B10 = $3,276,000.00

=SUM('E10 Escrow Report'!C8:C106)+SUM('E10 Escrow Report'!C107:C111)

E10 Escrow Report!C8 = $31,500.00

E10 Escrow Report!C9 = $31,500.00

E10 Escrow Report!C10 = $31,500.00

E10 Escrow Report!C11 = $31,500.00

E10 Escrow Report!C12 = $31,500.00

E10 Escrow Report!C13 = $31,500.00

E10 Escrow Report!C14 = $31,500.00

E10 Escrow Report!C15 = $31,500.00

E10 Escrow Report!C16 = $31,500.00

E10 Escrow Report!C17 = $31,500.00

E10 Escrow Report!C18 = $31,500.00

E10 Escrow Report!C19 = $31,500.00

E10 Escrow Report!C20 = $31,500.00

E10 Escrow Report!C21 = $31,500.00

E10 Escrow Report!C22 = $31,500.00

E10 Escrow Report!C23 = $31,500.00

E10 Escrow Report!C24 = $31,500.00

E10 Escrow Report!C25 = $31,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Confirmations/Marshgate Escrow closing report.xlsx · Closings!C8, Closings!C9, Closings!C10, Closings!C11, Closings!C12, Closings!C13

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Adjustments · Known Misstatements, Added Up

$700.00

Workbook: Adjustments!B11

Draft figure · the CPA reviews and concludes

Adjustments!B11 = $700.00

=B8

Adjustments!B8 = $700.00

='Reconciliation'!B22

Reconciliation!B22 = $700.00

='E04 Reconciliation'!D18

E04 Reconciliation!D18 = $700.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/June 2026 bank reconciliation.xlsx · Bank Reconciliation!D18

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Adjustments · Net Effect on Cash

$0.00

Workbook: Adjustments!B13

Draft figure · the CPA reviews and concludes

Adjustments!B13 = $0.00

=D8+D9

Adjustments!D8 = ($700.00)

=-B8

Adjustments!B8 = $700.00

='Reconciliation'!B22

Reconciliation!B22 = $700.00

='E04 Reconciliation'!D18

E04 Reconciliation!D18 = $700.00

Adjustments!D9 = $700.00

=B9

Adjustments!B9 = $700.00

='Outstanding Items'!B14

Outstanding Items!B14 = $700.00

='Reconciliation'!B17

Reconciliation!B17 = $700.00

='E04 Reconciliation'!D13

E04 Reconciliation!D13 = $700.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/June 2026 bank reconciliation.xlsx · Bank Reconciliation!D18, Bank Reconciliation!D13

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

WHAT STILL NEEDS A PERSON

FEE-01 · $700.00: The bank's $700.00 annual treasury services fee for 2026 of January 2, 2026 was never recorded. Cash and book income are overstated by $700.00. Proposed adjustment: debit a bank charges expense (the trial balance has no such account yet), credit 100110 Cash. It is 5.8% of materiality and under performance materiality, so if the client declines to record it the CPA may pass it and list it on the summary of passed adjustments. The machine never posts.

STALE-01 · $700.00: Check 1043, $700.00, for warranty claim HC-WCL-03 of December 3, 2025, has never been presented and was 209 days old at June 30, past the bank's 180-day limit. The unit owner has not been paid, yet the books count the claim as paid. Ask Morgan Lee to contact the unit owner and reissue it or void it with a stop payment. If voided: debit 100110 Cash, credit 220510 Warranty liability (or an unclaimed property liability). Cash rises by the same amount the bank charge lowers it.

CONF-01 · $12,400.00: The bank confirmed $42,300.00; the request showed the books' $29,900.00. The $12,400.00 difference is explained in full: 4 June payments that cleared July 1 and July 2 ($12,400.00), plus check 1043 ($700.00), less the unrecorded bank charge ($700.00). No adjustment beyond FEE-01 and STALE-01. The CPA accepts the explanation or asks for more.

REC-01: The June 30 reconciliation was prepared by Morgan Lee on July 9, 2026 and no one has signed it as reviewed. It carried a bank charge for six months instead of recording it, and a stale check without follow-up. Ask who reviews the reconciliation each month; the CPA weighs it as a control observation.

DOC-01: The FY2026 trial balance export is marked “draft and unapproved”. Every figure here rests on it. Ask Morgan Lee for the approved version and compare its cash with this one.

MAT-01 · $12,000.00: Materiality is proposed at $12,000.00, 5% of book income, with performance materiality $9,000.00 and clearly trivial $600.00, the same as the year-end audit. The engagement partner sets the final amounts.

REP-01: No management representation letter has been obtained. The CPA requests it near the end of fieldwork, including that every bank account has been disclosed.

SIGN-01: These are draft workpapers and findings for the engagement partner. They are not an audit report and give no opinion. Nothing has been signed, posted or sent to the client or the bank.

This memo is a draft for the engagement partner. It is not an audit report and gives no opinion; nothing has been signed, posted or sent.

DRAFT FOR THE CPA